

Delta Advanced Trucking, Inc.

Data Classification & Protection Standard

Effective Date	December 12, 2025	Classification	Internal
Document Owner	IT Security Department	Review Cycle	Annual
Approved By	L. Thomas Marchland, CEO	Next Review	December 12, 2026

Note:

This Standard supplements and implements

DAT-IT-004 Data Classification Policy

. It provides specific, enforceable technical and procedural requirements for each classification tier defined in that policy. All personnel must read DAT-IT-004 before applying requirements contained herein.

1. Purpose

This Data Classification and Protection Standard (the "Standard") establishes specific, technical, and operationally binding data protection requirements for each classification tier defined in **DAT-IT-004 Data Classification Policy**. Where the parent policy establishes the "what" and "why" of data classification at Delta Advanced Trucking, Inc. ("Delta" or the "Company"), this Standard defines the precise "how" — the encryption algorithms, access control configurations, data loss

prevention rules, retention schedules, and disposal methods required to protect Company data commensurate with its sensitivity and regulatory obligations.

This Standard is designed to serve as an authoritative technical reference for IT staff, system administrators, and compliance auditors, and to ensure consistent, defensible data protection practices across all Delta operations, including fleet management, dispatch, driver records, electronic logging, and administrative functions.

2. Scope

This Standard applies to:

- All information systems, applications, and platforms that process, store, or transmit Delta Advanced Trucking data, whether hosted on-premises, in approved cloud environments, or on mobile/fleet devices;
- All Delta employees, contractors, temporary workers, third-party vendors, and business partners who handle classified information in any format (electronic, paper, or verbal);
- All data generated in connection with Delta's trucking, logistics, fleet management, electronic logging device (ELD) operations, and corporate administrative functions;
- All geographic locations where Delta data is processed, including driver cabs, dispatch centers, corporate offices, and remote work environments.

This Standard does not supersede applicable federal or state regulations. In any conflict between this Standard and a legal requirement (including FMCSA regulations, IRS requirements, or state employment law), the applicable legal requirement governs, and the discrepancy must be reported to the IT Director.

3. Related Documents

Document Number	Document Title	Relationship
DAT-IT-003	Information Security Policy	Parent security governance framework
DAT-IT-004	Data Classification Policy	Parent policy; defines classification tiers
DAT-IT-007	Password Policy	Password and credential requirements referenced herein
DAT-IT-009	Remote Work Policy	Remote access and endpoint controls referenced herein
49 CFR Part 395	FMCSA Hours of Service Regulations	ELD and HOS data retention requirements

4. Protection Requirements by Classification Tier

The following matrix defines the minimum mandatory technical and administrative controls for each data classification tier. Controls are cumulative: higher tiers inherit all lower-tier requirements plus their own additions.

4.1 Classification Tier Quick Reference Matrix

Control Area	PUBLIC	INTERNAL	CONFIDENTIAL	RESTRICTED
Encryption at Rest	Not Required	Recommended	Required (AES-256)	Mandatory (AES-256)
Encryption in Transit	Not Required	TLS 1.2+	TLS 1.2+ Mandatory	TLS 1.3 Preferred
Access Control	None	Password Auth	RBAC + MFA (remote)	PAM + MFA (always)
Access Logging	Not Required	System Logs	Required	Required + Reviewed
DLP Controls	Not Required	Monitoring	Monitoring + Alert	Monitoring + Block
Cloud	Permitted	Approved Only	Approved + Encrypted	Prohibited (unless

Control Area	PUBLIC	INTERNAL	CONFIDENTIAL	RESTRICTED
Storage				approved)
External Email	Permitted	Internal Domain Only	Encrypted Email Only	Exec Approval Required
Retention Period	As Needed	As Needed	7 Years	10 Years (HR/Legal)

4.2 PUBLIC Data Protection Requirements

PUBLIC data is information approved for unrestricted external distribution. It carries no confidentiality requirement; however, integrity controls remain applicable to prevent unauthorized modification before publication.

- **Encryption:** Not required at rest or in transit. Standard HTTPS recommended for web delivery.
- **Access Control:** No authentication required for read access. Write/edit access requires employee authentication to prevent unauthorized modification.
- **Storage:** May reside on public-facing web servers, approved content management systems, and shared drives without restriction.
- **Backup:** Standard backup schedules apply (aligned with system backup policy).
- **External Sharing:** Public web posting, social media distribution, and email dissemination are all permitted without approval.
- **Examples:** Company website content, public rate cards, approved press releases, DOT-required public postings.

4.3 INTERNAL Data Protection Requirements

INTERNAL data is intended for Delta employee use only. Unauthorized disclosure may cause operational disruption or reputational harm, but the risk is limited in scope.

- **Encryption:** Encryption at rest is recommended but not mandatory for general internal file shares. TLS 1.2 or higher required for all data in transit across internal networks and VPN connections.
- **Access Control:** Password-protected access required per DAT-IT-007. Access granted based on job role; shared generic credentials for INTERNAL systems are prohibited.
- **Storage:** Internal file shares, approved collaboration platforms (e.g., SharePoint), and on-premises servers. No storage on personal devices without IT approval.
- **Email:** Email within the **@deltaadvancedtrucking.com** domain is permitted. External email transmission of INTERNAL data requires business justification.
- **Backup:** Standard backup schedule required. Backup media requires basic access controls (password-protected or locked storage).
- **Examples:** Internal operational procedures, dispatch schedules, internal org charts, general HR announcements, fleet maintenance schedules.

4.4 CONFIDENTIAL Data Protection Requirements

CONFIDENTIAL data contains sensitive business, financial, or personal information whose unauthorized disclosure could result in legal liability, financial harm, or significant damage to Delta's competitive position or driver privacy.

- **Encryption at Rest:** AES-256 encryption mandatory on all storage systems, including servers, NAS devices, backups, and laptops.
- **Encryption in Transit:** TLS 1.2 or higher mandatory for all transmission. Unencrypted transmission of CONFIDENTIAL data is strictly prohibited.
- **Access Control:** Role-Based Access Control (RBAC) required. Access must be approved by department manager and provisioned by IT. Multi-Factor Authentication (MFA) is required for all remote access to CONFIDENTIAL systems.

- **Access Logging:** All access events must be logged, including user identity, timestamp, data accessed, and action performed. Logs must be retained for a minimum of 12 months.
- **External Email:** Encrypted email (S/MIME or approved secure messaging gateway) required for any external transmission. The subject line must include the prefix "**CONFIDENTIAL:**" before the subject description.
- **DLP Controls:** DLP monitoring rules must be active. Alerts generated for attempted transmission to unapproved destinations. Manual review required within 24 hours of alert.
- **Backup:** Encrypted backups with access controls. Backup restoration requires manager authorization and is logged.
- **Retention:** Minimum 7 years unless superseded by a longer regulatory requirement.
- **Examples:** Customer contracts, freight invoices, driver personal information (SSN, DOT medical certificate), load manifests with shipper details, insurance policies.

4.5 RESTRICTED Data Protection Requirements

RESTRICTED data is the most sensitive classification at Delta. Unauthorized disclosure may result in regulatory violations, significant legal liability, harm to individuals, or material financial loss. These requirements are non-negotiable and exceptions require executive approval.

RESTRICTED DATA — ELEVATED CONTROLS APPLY

All RESTRICTED data handling requires adherence to all controls listed below without exception. Non-compliance must be reported to the IT Security team immediately.

- **Encryption at Rest:** AES-256 encryption mandatory on all storage systems. Unencrypted storage of RESTRICTED data on any medium is prohibited, including temporary files and workstation caches.
- **Encryption in Transit:** TLS 1.3 preferred; TLS 1.2 minimum. All transfers must occur over encrypted channels. Cleartext protocols (FTP, HTTP, unencrypted SMTP) are strictly prohibited.
- **Access Control:** Privileged Access Management (PAM) solution required. Access is granted on a need-to-know basis with documented justification. MFA is mandatory for all access — local and remote. Shared credentials are prohibited under any circumstances.
- **Access Logging and Review:** All access events logged with full audit trail. Logs reviewed weekly by IT Security. Anomalous access triggers immediate investigation.
- **Cloud Storage:** Prohibited unless the platform is on the IT-approved cloud platform list, data is encrypted at rest with Company-managed keys, and IT Director has granted written approval.
- **External Transfer:** All external transfers must use AES-256 encrypted containers with strong password protection. Password must be communicated via a separate channel from the file. Executive (VP or above) approval required prior to transfer.
- **Network Segmentation:** RESTRICTED data systems must reside on a separate network segment or VLAN isolated from general corporate and guest networks where technically feasible.
- **DLP Controls:** Active DLP blocking rules must be in place. Attempted transmission to unapproved destinations is automatically blocked and generates an immediate security alert.
- **Retention:** HR and legal records: 10 years post-employment or resolution. All other RESTRICTED data per applicable regulatory requirements.

- **Examples:** Driver Social Security Numbers, payroll data, background check results, litigation records, executive compensation data, trade secrets, CDL numbers with associated personal data.

5. Technical Controls Implementation

5.1 Encryption Standards

Use Case	Algorithm	Minimum Key Length	Key Management Requirement
Data at Rest (Confidential/Restricted)	AES-256	256-bit	Enterprise key management system; keys rotated annually
Data in Transit	TLS 1.2 / TLS 1.3	2048-bit RSA / 256-bit ECDH	Valid CA-signed certificates; no self-signed for production
Email Encryption (S/MIME)	AES-256 / RSA	2048-bit	Certificates issued via IT-managed PKI or approved CA
File/Archive Encryption	AES-256	256-bit	Passwords minimum 16 chars; communicated via separate channel
Disk/Volume Encryption (Endpoints)	AES-256 (BitLocker / FileVault)	256-bit	Recovery keys escrowed in Active Directory or MDM
Database Encryption	AES-256 (TDE)	256-bit	Database master key protected by server certificate; backed up separately
VPN Tunnels (Remote Access)	AES-256-GCM / IKEv2	256-bit	MFA required at VPN gateway layer; certificates rotated annually

Deprecated or prohibited cryptographic algorithms include: DES, 3DES, RC4, MD5 (for integrity), SHA-1 (for signing), SSL 2.0, SSL 3.0, TLS 1.0, and TLS 1.1. Any

system found using these algorithms must be remediated within 30 days of discovery.

5.2 Access Control Standards

Control	PUBLIC	INTERNAL	CONFIDENTIAL	RESTRICTED
Authentication Method	None required	Password (per DAT-IT-007)	Password + MFA (remote)	Password + MFA (always)
Access Model	Open	Role-based	RBAC with documented justification	PAM + least-privilege, documented need-to-know
Session Timeout (Idle)	N/A	60 minutes	30 minutes	15 minutes
Privileged Access Review	N/A	Annual	Semi-annual	Quarterly
Account Lockout (Failed Attempts)	N/A	10 attempts	5 attempts	3 attempts
Shared Credentials	N/A	Discouraged	Prohibited	Strictly Prohibited
Third-Party Access	Permitted	Manager approval	IT Director approval + NDA	Executive approval + legal agreement

5.3 Data Loss Prevention (DLP) Controls

Delta's DLP solution must be configured and actively enforced across email gateways, endpoint agents, and cloud access security broker (CASB) integrations. The following rules represent the minimum required configuration:

5.3.1 DLP Monitoring Rules (INTERNAL and above)

- Detection of Social Security Numbers (SSN format: XXX-XX-XXXX) in outbound email or file uploads;

- Detection of CDL numbers, DOT Medical Certificate numbers, or driver license numbers in outbound transmissions;
- Detection of bulk customer or load data (50+ records) leaving the corporate network;
- Detection of financial account numbers, routing numbers, or payroll data in outbound communications;
- Detection of CONFIDENTIAL or RESTRICTED label markers in transmissions to unapproved external destinations.

5.3.2 DLP Blocking Rules (RESTRICTED data)

- Automatic block of any outbound email containing RESTRICTED-classified content to non-approved external recipients;
- Automatic block of file uploads to non-approved cloud storage services (e.g., personal Dropbox, consumer Google Drive);
- Automatic block of unencrypted data transfers via FTP, HTTP file upload, or consumer file-sharing services;
- Automatic block and alert on attempts to copy RESTRICTED data to removable media not on the approved device list;
- Real-time alert to IT Security and manager on any blocked event.

5.4 Endpoint Controls

Control	Requirement	Applies To
Full-Disk Encryption	Mandatory on all Company-owned endpoints (laptops, desktops, tablets). BitLocker (Windows) or FileVault (macOS). Recovery keys escrowed in IT systems.	All endpoints, all tiers
USB / Removable Media	Blocked by default for CONFIDENTIAL and RESTRICTED systems. IT-approved and asset-tagged encrypted drives only. Formal request required for RESTRICTED. Access logged.	CONFIDENTIAL+

Control	Requirement	Applies To
Screen Lock	Automatic screen lock after idle timeout per Section 5.2. Physical screen privacy filters required for RESTRICTED data in public locations (e.g., driver lounges, airports).	All endpoints
Mobile Device Management (MDM)	All mobile devices accessing CONFIDENTIAL or RESTRICTED data must be enrolled in Company MDM. Remote wipe capability must be enabled.	CONFIDENTIAL+
Antivirus / EDR	Endpoint Detection and Response (EDR) solution required on all endpoints. Definitions updated automatically. Real-time protection enabled.	All endpoints
Patch Management	Critical and high-severity patches applied within 30 days of release. RESTRICTED system patches applied within 15 days.	All endpoints

5.5 Cloud Storage Controls

Only IT-approved cloud platforms may be used to store or process Delta data. Use of non-approved platforms (personal accounts, shadow IT) is prohibited for any data classification above PUBLIC.

Requirement	INTERNAL	CONFIDENTIAL	RESTRICTED
Platform Approval	IT-approved list	IT-approved list only	IT Director written approval required
Encryption at Rest	Provider-managed acceptable	AES-256 mandatory; Customer-managed keys preferred	AES-256 mandatory; Company-managed keys required
Data Residency	US region preferred	US region required	US region mandatory; documented in data inventory
Access Logging	Standard audit logs	Detailed audit logs retained 12 months	Full audit logs retained 24 months;

Requirement	INTERNAL	CONFIDENTIAL	RESTRICTED
			reviewed quarterly
CASB Integration	Recommended	Required	Required; blocking policies active

6. ELD & Fleet System Data Protection

Delta's fleet operations generate specialized categories of regulated data subject to Federal Motor Carrier Safety Administration (FMCSA) requirements under 49 CFR Part 395. This section establishes specific protection requirements for ELD and fleet management data in addition to the general tier requirements in Section 4.

6.1 ELD Data Classification and Handling

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Classification: ELD / HOS Data = CONFIDENTIAL

All Electronic Logging Device (ELD) records and Hours of Service (HOS) data are classified as

CONFIDENTIAL

by default and must be protected accordingly. Driver-identifying ELD records combined with personal identifiers are elevated to

RESTRICTED

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Data Type	Classification	Retention Period	Regulatory Basis
ELD Hours of Service (HOS) Records	CONFIDENTIAL	6 months minimum (active); 12 months archived	49 CFR § 395.22
Driver Daily Logs	CONFIDENTIAL	6 months	49 CFR § 395.8

Data Type	Classification	Retention Period	Regulatory Basis
(paper backup)			
ELD Malfunction Records	CONFIDENTIAL	6 months	49 CFR § 395.22(j)
Driver Record of Duty Status + PII	RESTRICTED	3 years	DOT + Privacy best practice
Telematics / GPS Location Data	CONFIDENTIAL	12 months	Operational / Insurance
Vehicle Inspection Reports (DVIR)	INTERNAL	3 months	49 CFR § 396.11

6.2 Fleet Management Platform Access Controls

- Fleet management platform administrator accounts must use MFA and PAM-managed credentials. Shared admin credentials are prohibited.
- Driver access to their own ELD records is permitted and must not be restricted in violation of 49 CFR § 395.22(k)(4) (driver data access rights).
- Third-party carrier clients or brokers requesting access to telematics data require a signed data sharing agreement and IT Director approval. Access must be time-limited and logged.
- Fleet system access must be reviewed semi-annually and revoked within 24 hours of employment termination for drivers or dispatchers.

6.3 Driver Record Protection

Driver records, including CDL information, DOT physical examination results, drug and alcohol testing records, and employment history, are classified as RESTRICTED. The following controls are mandatory:

- Driver records stored in HR and fleet systems must be encrypted at rest (AES-256) and access-logged;
- Drug and alcohol testing records must be maintained separately from general driver files per 49 CFR Part 40, with access limited to authorized safety personnel;

- Driver records may only be transmitted externally (e.g., to prospective employers) with the driver's written consent and using encrypted transmission methods;
- Background check results (MVR, criminal) must be purged in accordance with FCRA requirements upon determination of their retention period.

7. Labeling & Marking Requirements

Proper labeling ensures recipients are immediately aware of data sensitivity and handling obligations. Labeling is mandatory for CONFIDENTIAL and RESTRICTED data. INTERNAL labeling is strongly recommended.

7.1 Electronic Document Marking

Classification	Document Header	Document Footer	Watermark (Print)
PUBLIC	Optional: "Delta Advanced Trucking — Public"	Optional	None required
INTERNAL	"INTERNAL — Delta Advanced Trucking"	"Internal Use Only"	None required
CONFIDENTIAL	"CONFIDENTIAL — Delta Advanced Trucking"	"CONFIDENTIAL — Handle per DAT-IT-004-S"	"CONFIDENTIAL" in light gray
RESTRICTED	"RESTRICTED — Delta Advanced Trucking — Authorized Personnel Only"	"RESTRICTED — DAT-IT-004-S — Unauthorized disclosure prohibited"	"RESTRICTED" in light red diagonal

7.2 Email Subject Line Marking

- **INTERNAL:** No required prefix, but inclusion of "[INTERNAL]" at the start of the subject line is recommended.
- **CONFIDENTIAL:** Subject line must begin with "**CONFIDENTIAL:**" followed by a space and then the subject description. Example: *CONFIDENTIAL: Q3 Driver Payroll Summary*

- **RESTRICTED:** Subject line must begin with "**RESTRICTED:**" followed by a space and then the subject description. Example: *RESTRICTED: Driver Background Investigation — [Last Name]*

7.3 File Naming Conventions

- Files containing CONFIDENTIAL data must include the prefix "**CONF_**" at the start of the file name. Example: *CONF_CustomerContract_Acme2025.pdf*
- Files containing RESTRICTED data must include the prefix "**RESTR_**" at the start of the file name. Example: *RESTR_DriverSSN_Roster_2025.xlsx*
- File naming conventions apply to all formats: documents, spreadsheets, PDFs, and data exports.

7.4 Physical Media Labeling

- Printed documents classified CONFIDENTIAL or RESTRICTED must bear the classification marking on every page header or footer.
- Physical folders and binders containing RESTRICTED paper records must be labeled with a **RED "RESTRICTED"** label on the outside cover.
- USB drives or physical media approved for RESTRICTED data must be individually labeled and registered in the IT asset inventory.

8. Data Retention Schedule

The following schedule defines mandatory minimum and maximum retention periods for Delta's primary data categories. Data must not be retained beyond its maximum retention period unless a litigation hold or regulatory extension is in effect, documented in writing, and approved by Legal or the IT Director.

Data Type	Classification	Minimum Retention	Maximum Retention	Regulatory Basis
Customer Contracts & Freight	CONFIDENTIAL	7 years after expiration	10 years (if disputed)	SOX / Contract law

Data Type	Classification	Minimum Retention	Maximum Retention	Regulatory Basis
Agreements				
Driver Qualification Files (DQF)	RESTRICTED	3 years after employment ends	Per DOT requirement	49 CFR § 391.51
Driver Hours of Service / ELD Data	CONFIDENTIAL	6 months (active); 12 months (archived)	3 years (with PII combined)	49 CFR § 395.22
Financial Records (A/R, A/P, General Ledger)	CONFIDENTIAL	7 years	10 years	IRS Rev. Proc. 98-25
Employee Payroll Records	RESTRICTED	7 years post-employment	10 years	FLSA / IRS
Employee HR Files (General)	RESTRICTED	7 years post-employment	10 years	EEOC / State law
Drug & Alcohol Testing Records	RESTRICTED	5 years (positive results)	5 years	49 CFR Part 40
Vehicle Inspection Reports (DVIR)	INTERNAL	3 months	12 months	49 CFR § 396.11
Fleet Maintenance Records	INTERNAL	Life of vehicle + 1 year	Life of vehicle + 3 years	49 CFR § 396.3
Incident / Accident Records	CONFIDENTIAL	5 years	10 years (if litigation)	49 CFR § 390.15
Insurance Policies & Claims	CONFIDENTIAL	7 years after policy expiration	10 years	Insurance / Legal
IT Security Logs (Access, DLP, Audit)	INTERNAL	12 months (online); 24 months (archived)	5 years	DAT-IT-003
GPS / Telematics Location Data	CONFIDENTIAL	12 months	3 years	Operational / Insurance

 **Litigation Hold**

In the event of actual or reasonably anticipated litigation, regulatory inquiry, or audit, normal retention schedules are suspended for affected data categories. IT must be notified immediately, and a litigation hold must be implemented under direction of Legal counsel. Contact the IT Director and company Legal counsel before disposing of any potentially relevant records.

9. Secure Disposal Standards

Data must be disposed of securely at the end of its retention period, at the time of system decommissioning, or upon a classified asset leaving Company control.

Disposal method is determined by classification tier and media type.

9.1 Paper and Physical Document Disposal

Classification	Required Method	Documentation Required
PUBLIC / INTERNAL	Standard recycling or shredding acceptable	None
CONFIDENTIAL	Cross-cut shredding (minimum DIN 66399 Level P-4) or locked shred bin serviced by certified vendor	Vendor shredding certificate recommended
RESTRICTED	Cross-cut micro-cut shredding (DIN 66399 Level P-5 or higher) or certified secure destruction vendor	Certificate of Destruction required; retained in IT records

9.2 Digital Media and Device Disposal

Media Type	INTERNAL / CONFIDENTIAL Method	RESTRICTED Method
Hard Disk Drives (HDD)	DoD 5220.22-M overwrite (3-pass minimum) or NIST	Physical destruction (shredding or degaussing)

Media Type	INTERNAL / CONFIDENTIAL Method	RESTRICTED Method
	800-88 Clear	preferred; DoD 5220.22-M minimum if physical not feasible
Solid State Drives (SSD)	ATA Secure Erase command or manufacturer secure wipe utility	Physical destruction strongly recommended; Cryptographic Erase (CE) per NIST 800-88 if AES-256 was used at rest
USB / Removable Media	NIST 800-88 Clear or physical destruction	Physical destruction mandatory; Certificate of Destruction required
Optical Media (CD/DVD)	Physical shredding or destruction	Physical shredding; Certificate of Destruction required
Mobile Devices (Phones, Tablets)	Factory reset + MDM remote wipe	Factory reset + MDM remote wipe + physical destruction of storage chip if RESTRICTED data confirmed
ELD Hardware (End-of-Life)	Vendor-certified data wipe per FMCSA guidance	Physical destruction of storage module; IT-documented disposal record

A Certificate of Destruction is required for all RESTRICTED media disposal events. Certificates must be retained in the IT asset management system for a minimum of 7 years.

10. Data Transfer Standards

10.1 Approved Transfer Methods by Classification

Transfer Method	PUBLIC	INTERNAL	CONFIDENTIAL	RESTRICTED
Internal Email (@deltaadvancedtrucking.com)	Permitted	Permitted	Permitted	Permitted (MFA required)
External Email (Encrypted,	Permitted	Permitted	Required for external	Exec approval required

Transfer Method	PUBLIC	INTERNAL	CONFIDENTIAL	RESTRICTED
S/MIME)				
External Email (Unencrypted)	Permitted	Permitted	PROHIBITED	PROHIBITED
Personal Email (Any Provider)	Permitted	PROHIBITED	PROHIBITED	PROHIBITED
SFTP / SCP (Encrypted File Transfer)	Permitted	Permitted	Permitted (IT-approved servers)	Permitted (IT-approved + logged)
FTP (Unencrypted)	Permitted	Discouraged	PROHIBITED	PROHIBITED
Approved Cloud Platform (Encrypted)	Permitted	Permitted	Permitted	IT Director approval required
Encrypted USB (Approved, Asset-Tagged)	Permitted	Permitted	Permitted (IT-approved device)	Formal request + exec approval
Unencrypted USB / Personal USB	Permitted	Discouraged	PROHIBITED	PROHIBITED
Fax (for physical documents)	Permitted	Permitted	Permitted (attended receipt only)	PROHIBITED

Prohibited Transfer Methods — All Classifications

The following transfer methods are prohibited for any Delta data, regardless of classification: personal email accounts (Gmail, Yahoo, Hotmail, etc.) for INTERNAL or above; consumer file-sharing services (personal Dropbox, WeTransfer, consumer Google Drive) for INTERNAL or above; SMS/MMS text message for CONFIDENTIAL or above; posting to public forums, social media, or unsecured websites.

11. Monitoring & Audit

11.1 Ongoing Monitoring

- **DLP Alerting:** IT Security must review all DLP alerts within 24 hours of generation. Blocked events for RESTRICTED data require immediate review and escalation if a policy violation is confirmed.
- **Access Log Review:** RESTRICTED system access logs are reviewed weekly by IT Security. CONFIDENTIAL system logs are reviewed monthly. Automated alerting for after-hours or anomalous access patterns must be configured.
- **Failed Authentication Monitoring:** Excessive failed login attempts (above the lockout threshold in Section 5.2) generate an IT Security alert for investigation within 4 business hours.

11.2 Periodic Audits

Audit Activity	Frequency	Responsible Party	Output
DLP Report Review	Quarterly	IT Security Manager	Quarterly DLP exception report to IT Director
Data Classification Audit (sample-based)	Annual	IT Security + Department Leads	Classification accuracy report; remediation plan if needed
Access Rights Review (CONFIDENTIAL systems)	Semi-annual	IT + Department Managers	Access certification sign-off; revocation log
Access Rights Review (RESTRICTED systems)	Quarterly	IT Security Manager	PAM access certification; revocation log
Encryption Compliance Scan	Annual	IT Security	Endpoint and server encryption status report
Retention and Disposal Compliance Review	Annual	IT + Records Manager	Disposal log verification; retention compliance report

Audit Activity	Frequency	Responsible Party	Output
Exception Register Review	Quarterly	IT Director	Updated exception register; renewal or closure of exceptions

12. Exceptions

Where strict compliance with a specific requirement in this Standard creates an unacceptable operational burden and a compensating control can achieve equivalent risk reduction, an exception may be requested through the following process:

1. **Request Submission:** The requesting department head submits a written exception request to the IT Director. The request must include the specific requirement for which an exception is sought, the business justification, the proposed duration, and the proposed compensating controls.
2. **IT Security Review:** IT Security evaluates the risk impact of the proposed exception and the adequacy of compensating controls. A risk rating (Low / Medium / High) is assigned.
3. **Approval Authority:** Low-risk exceptions may be approved by the IT Director. Medium-risk exceptions require VP-level approval. High-risk exceptions require CEO approval.
4. **Time Limitation:** All exceptions are time-limited. Maximum initial duration is 90 days. Extensions require re-approval following the same process.
5. **Exception Register:** All approved exceptions are logged in the IT Exception Register with the risk rating, compensating controls, approval date, expiration date, and approver name. The register is reviewed quarterly per Section 11.



No Self-Approval

IT staff may not approve exceptions to requirements that apply to IT systems or IT operations. Such exceptions require approval at the IT Director level or above from a party independent of IT administration.

13. Enforcement

Compliance with this Standard is mandatory for all personnel within scope. Violations will be addressed in accordance with Delta's Human Resources policies and applicable employment agreements. Enforcement actions may include:

- Verbal or written counseling for first-time, unintentional minor violations;
- Mandatory retraining on data classification and protection requirements;
- Temporary or permanent revocation of access privileges to classified systems;
- Formal disciplinary action, up to and including termination of employment or contract, for willful violations, repeated violations, or violations that result in data breach or regulatory non-compliance;
- Civil or criminal referral in cases where a violation constitutes a legal offense, including theft of trade secrets, violation of driver privacy rights, or obstruction of FMCSA regulatory requirements.

Suspected violations of this Standard must be reported to the IT Security team or the IT Director promptly. Reports made in good faith will not result in retaliation against the reporting individual. Delta reserves the right to conduct forensic investigations of company-owned systems in response to potential policy violations.

14. Review

This Standard will be reviewed on an annual basis, no later than 12 months following its effective date, by the IT Security Department in coordination with Legal, HR, and Compliance stakeholders. The review will assess:

- Changes in regulatory requirements applicable to Delta's operations (FMCSA, IRS, EEOC, state privacy laws);
- Changes in technology landscape, including new encryption standards, threat intelligence, or approved platform updates;
- Results of annual data classification audits and DLP reports;
- Lessons learned from any data incidents or near-misses during the prior review period.

Material changes to this Standard will be communicated to all in-scope personnel within 30 days of approval. The Standard version number will be incremented with each revision, and a version history will be maintained in the document management system.

Approved and Effective as of December 12, 2025:

L. Thomas Marchland

L. Thomas Marchland

Chief Executive Officer, Delta Advanced Trucking, Inc.

Date: December 12, 2025

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